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Pune E-Stock Broking Limited

Q1 FY26 Result Update

Privi Speciality Chemicals Ltd

Reco: BUY **CMP: 2,300** **TP: 3,000** ▲ **30%**

Riding the Aroma Wave

Privi delivered a strong start to FY26 with healthy revenue and earnings growth, reflecting continued demand strength across both domestic and export markets, supported by favourable product mix and operational efficiency gains. The company demonstrated resilience despite macro volatility due to its backward integration and process innovation, reaffirming its status as a leading and reliable global supplier in the aroma chemicals industry.

We maintain our **BUY** rating with a revised target price of ₹3,000, valuing the stock at 30x FY27E earnings, as we gain increased confidence in the company's execution trajectory and margin sustainability. We raise our FY26E/FY27E revenue and PAT estimates by 16%/26% and 12%/15% to factor in a faster ramp-up in the JV and progress in pharma-linked product in the second half of FY26.

Additionally, the company's ongoing capacity expansions, now entering their contribution phase strengthen the earnings growth outlook. the combined impact of these factors will begin reflecting in H2FY26 and scale meaningfully through FY27.

Robust Financial Performance

On a consolidated basis, revenue from operations stood at ₹559 crore, reflecting a healthy 20.4% YoY increase, largely driven by robust sales of flagship and specialty aroma chemicals. EBITDA rose 40.4% YoY to ₹132 crore, translating into an improved EBITDA margin of 23.7% compared to 20.3% in Q1 FY25. PAT nearly doubled, increasing 97.1% YoY to ₹62 crore, with PAT margins expanding to 10.9% from 6.7% in the same period last year.

Return metrics also showed a meaningful improvement. ROCE rose by 500 bps to 18.2%, and ROE by 670 bps to 19.6%, signalling improved capital efficiency on the back of better working capital management and operational leverage.

Steady Demand Visibility

The demand conditions remain robust, supported by structural factors in end-use categories such as personal care, home care, and hygiene products. Around 70% of the business for FY26 has already been contracted, offering strong revenue visibility. The company's products are essential ingredients in everyday FMCG items such as soaps, deodorants, toothpaste, and detergents which protects them from major cyclical disruptions.

Furthermore, the premiumization trend across Asia, particularly in India and China, is accelerating growth in specialty chemicals tailored for fine fragrances

Key data	
NSE	PRIVISCL
BSE	530117
Shares outstanding (In Crs)	3.91
Market cap (In Crs)	8,992
Enterprise Value (In Crs)	10,084
52 week High	2,673
52 week Low	1,352
P/E Ratio	42.7
EV/EBITDA	19.5

Particulars *(In Cr)*	**FY24**	**FY25**	**FY26E**	**FY27E**
Revenue	1,752	2,101	3,001	3,572
EBITDA	329	454	669	829
EBITDA %	19%	22%	22%	23%
PAT	95	185	319	400
EPS (Rs.)	24.4	48.5	81.5	102.5
P/E (x)	40.7	44.6	28.2	22.4

Initiating Coverage: Privi Speciality Chemicals

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and customized sensory experiences. The company sees India-specific growth at 8–10%, significantly outpacing global averages.

JV Progress and Outlook

Privi's joint venture with Givaudan (Prigiv) is focused on high-value, proprietary molecules used in fine fragrances and taste applications. The JV is in the early ramp-up phase and has not yet achieved break-even, but one product has already received commercial approval, with several more under evaluation. The product qualification process follows stringent global protocols, given the end-use in high-end perfumes and flavours.

Faster ramp-up in the JV is expected in the second half of FY26, with meaningful contribution from FY27 onwards as more products transition from pilot to commercial scale. The JV partner has initiated discussions on additional expansion phases, underscoring the strategic relevance of the platform.

Discussions are underway with the JV partner to secure low-cost debt for upcoming phases. These high-margin, low-volume molecules are expected to materially improve the company's overall margin profile and support innovation-led growth over the long term.

Strategic Amalgamation Update

Privi announced the merger of its wholly owned subsidiaries Privi Fine Sciences Pvt. Ltd. (PFSPL) and Privi Biotechnologies Pvt. Ltd. (PBPL) into Privi Speciality Chemicals Ltd. This strategic move is aimed at simplifying the group structure, enhancing operational efficiency, and unlocking synergies across product development and manufacturing.

PFSPL brings capabilities in green-chemistry molecules, such as Cyclopentanol, a renewable feedstock-based product with applications in aroma chemicals, pharmaceuticals, and electronics. PBPL, on the other hand, contributes fermentation-led biotechnology expertise for sustainable aromatic ingredients. Management emphasized that these businesses have built significant intellectual property, some of which are expected to translate into patents shortly. The integration is expected to accelerate commercialization, boost margins, and enable value unlocking from both scale and innovation.

Capex Plans and Execution

Privi has outlined a capex roadmap of approximately ₹1,100 crore aligned with its 5K–1K vision (₹5,000 crore revenue and ₹1,000 crore EBITDA in the next 5 years). Phase 1 of the brownfield expansion, with an investment of ₹280–₹300 crore, is partially complete and will begin contributing from Q2 FY26, with full commissioning by Q4 FY26. This includes debottlenecking and conversion of select facilities to continuous manufacturing.

Further investments are underway at Privi Fine Sciences to scale up renewable and biotech-based products, many of which are at pilot or early commercialization stages.

Future Guidance

For FY26, the company has reiterated its guidance of ~20% revenue growth, supported by strong demand visibility, capacity ramp-up, and a higher share of value-added products. EBITDA margins are expected to remain above 20%, driven by improved product mix, continuous manufacturing efficiencies, backward integration, and utility cost savings.

Gross margins (on RMC basis) are expected to remain in the 48–50% range, aided by value extraction from by-products and better raw material optimization.

Exhibit 1: Financial Performance

Particulars (In Cr)	Q1 FY26	Q1 FY25	YoY change
Revenue from Operations	**558.8**	**464.0**	**20.4%**
Cost of materials consumed	275.2	260.6	
Gross Profit	283.6	203.4	39.4%
Gross Profit Margin	50.8%	43.8%	692bps
Operating Expenses	151.5	109.1	
EBITDA	**132.1**	**94.3**	**40.1%**
EBITDA Margin (%)	**23.6%**	**20.3%**	**332bps**
Depreciation	36.2	32.1	
EBIT	95.9	62.2	
Finance Cost	23.7	22.0	
Other Income	9.0	2.7	
Profit before Tax	81.2	42.9	
Tax	23.6	11.5	
Profit After Tax	**57.6**	**31.4**	**83.4%**
PAT Margin (%)	**10.3%**	**6.8%**	**354bps**
PAT attributable to PSCL	61.9	31.4	97.1%
PAT Margin	10.9%	6.7%	420bps

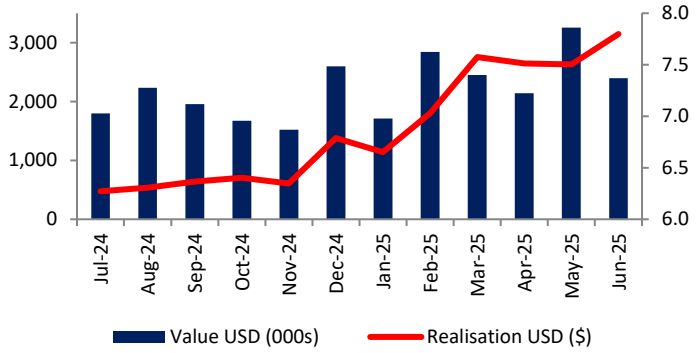
Source: Company Filings, PESB Research

Exhibit 2: Revision in our estimates

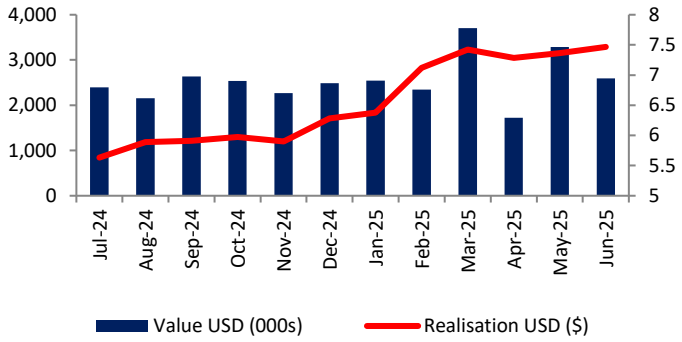
Earnings Change	Old		New		Change	
	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E
Revenue	2,592	3,201	3,001	3,572	16%	12%
EBITDA	575	743	669	829	16%	12%
PAT	253	347	319	400	26%	15%

Exhibit 3: Increasing Export volumes and Realization

Dihydromyrcenol



Amber Fleur



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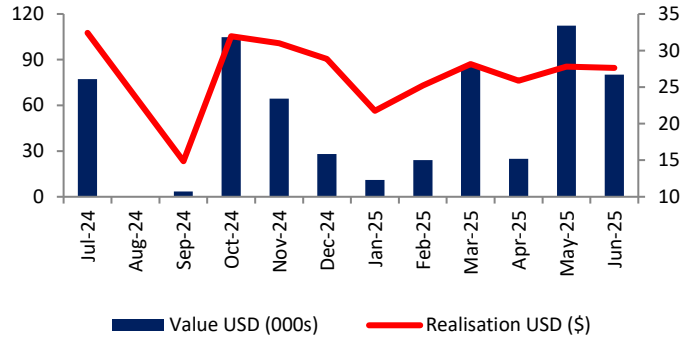
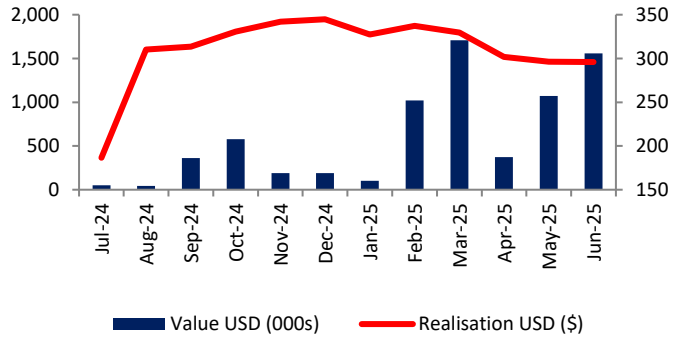
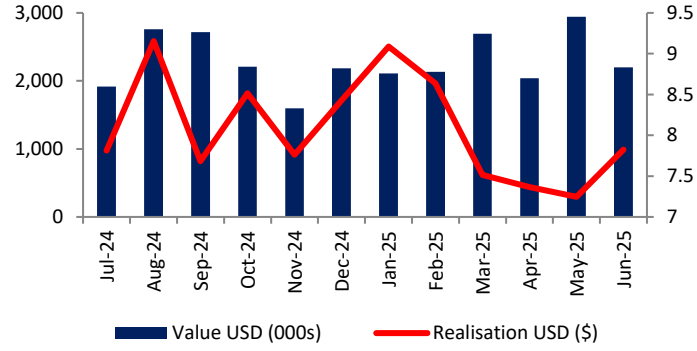


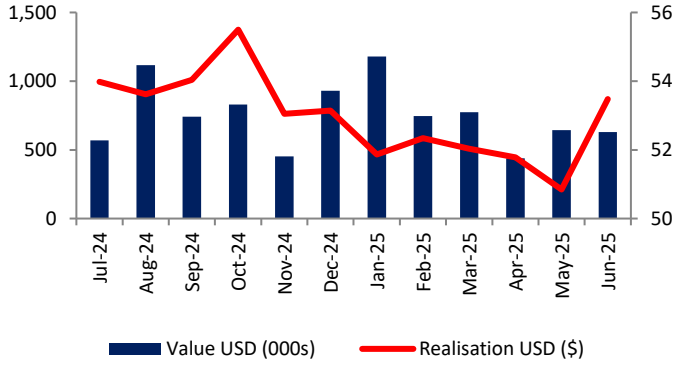
Amber Woody Extreme



Galaxmusk



Indomerane



Source: Volza, PESB Research

Financial Highlights

Consolidated Profit & Loss Statement

Particulars (In Cr)	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue from Operations	1,608	1,752	2,101	3,001	3,572
YoY Growth	*14.5%*	*9.0%*	*19.9%*	*42.8%*	*19.0%*
COGS	939	984	1,131	1,585	1,836
Power & Fuel Cost	147	138	153	231	282
Gross Profit	521	630	816	1,186	1,454
Employee Cost	80	73	87	126	161
Other Expenses	254	229	276	390	464
EBITDA	188	329	454	669	829
EBITDA Margin	*11.7%*	*18.7%*	*21.6%*	*22.3%*	*23.2%*
YoY Growth	*-3.8%*	*75.1%*	*38.0%*	*47.6%*	*23.8%*
Depreciation	108	123	132	151	187
EBIT	79	205	322	518	641
Finance Cost	70	102	88	111	127
Other Income	21	26	21	26	30
Exceptional Items					
PBT	31	130	255	433	545
Tax	10	34	70	115	144
PAT	21	95	185	319	400
Net Profit Margin	*1.3%*	*5.4%*	*8.8%*	*10.6%*	*11.2%*
YoY Growth	*-78.2%*	*349.3%*	*93.6%*	*72.4%*	*25.7%*
EPS	5.4	24.4	48.5	64.7	88.7
No. of Shares Outstanding	3.9	3.9	3.9	3.9	3.9

Consolidated Balance Sheet

Particulars	FY23A	FY24A	FY25A	FY26E	FY27E
Assets					
Property plant and equipment	952	969	1,098	1,255	1,427
Capital work-in-progress	95	89	127	127	127
Right use assets	54	56	47	44	40
Other non-current assets	88	88	154	154	154
Inventories	799	659	788	1,042	1,107
Investments	7	40	8	8	8
Trade receivables	296	348	394	576	685
Cash and cash equivalents	25	29	50	165	447
Other current assets	76	67	123	123	123
Total Assets	**2,391**	**2,343**	**2,791**	**3,494**	**4,119**
Equity and Liabilities					
Equity					
Equity share capital	39	39	39	39	39
Reserves	790	885	1,064	1,383	1,783
Non controlling interest	6	17	14	14	14
LIABILITIES					
Non Current Borrowings	404	445	511	583	684
Lease liabilities	13	19	9	9	9
Other non-current Libilities	38	42	49	49	49
Current Borrowings	657	536	612	773	878
Lease liabilities	6	9	11	11	11
Trade payables	294	283	402	554	573
Other current liabilities	145	68	79	79	79
Total Equity and Liabilities	**2,391**	**2,343**	**2,791**	**3,494**	**4,119**

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